

25VECV07364 25VECV07364

County: los-angeles

Division: Civil Law and Motion

Department: B

Hearing date: 2026-09-18

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Tentative Ruling

Bedrosian v. Mercury Insurance Co.,

Case no. 25VECV07364

Hearing date September 18, 2026

Defendant

Mercury's Demurrer to the Second Amended Complaint

Plaintiff

Bedrosian sues defendant Mercury Insurance Co. over defendant's handling of an underinsured-motorist ("UIM") claim. Defendant demurred to five of the six causes of action in the original complaint. The first amended complaint abandoned three of those claims and pled causes of action for breach of contract, breach of the implied covenant of good faith and fair dealing and violation of Bus. & Prof. Code §17200, et seq. Defendant's demurrer to the first and third causes of action and motion to strike the prayer for equitable relief under the third cause of action was sustained with leave to amend. See 6/30/26 Min. Order.

The

second amended complaint pleads causes of action for breach of contract and breach of the implied covenant of good faith and fair dealing. Defendant demurs to the first cause of action. Plaintiff opposes. The opposition was untimely by 6 court days. This is prejudicial to defendant, which filed a substantive reply by the statutory deadline, only 3 court days later. The court will consider the substance of the opposition but will take its untimeliness into consideration.

Though

the SAC purports to attach the subject insurance policy, it is not attached. As the policy was attached to the FAC, exh. A, the court takes judicial notice of the policy sua sponte pursuant to Evid. Code §452(d).

“The

function of a demurrer is to test the sufficiency of the complaint as a matter of law.” *Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420. A complaint “is sufficient if it alleges ultimate rather than evidentiary facts,” *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550, but plaintiff must allege essential facts “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. *Doheny Park Terrace Homeowners Ass’n., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.

Defendant

demurs to the breach of contract claim, which requires allegations of breach of an express contractual provision. *Archdale v. American Specialty Lines Ins. Co.* (2007) 154 Cal.App.4th 449, 466–467; *Frances T. v. Village Green Owners Ass’n.* (1986) 42 Cal.3d 490, 512–513. The policy (FAC, exh. A) states what defendant owes plaintiff and under what circumstances payment is due, but no express term as to when payment is owed. *Id.* The policy provides for an arbitration process prior to payment on a claim. *Id.*

Plaintiff

alleges defendant breached the terms provided by coverage schedule H, conditions 8 and 9. Coverage H promises to pay all sums the insured is legally entitled to recover. FAC, exh. A. Condition 8 states the amount payable: UIM limits, less amounts paid by those legally liable. *Id.* Condition 9 makes any amount due payable to the insured. *Id.*

Plaintiff

alleges Civ. Code §1657 supplies payment timing, arguing coverage H does not provide specific payment timing, so that term is to be determined by statute. See *California Drilling & Mach. Co. v. Crowder* (1922) 58 Cal.App. 529. Plaintiff alleges defendant breached by failing to make immediate payments under the statutory timeline. SAC, para. 74. Plaintiff alleges payment was due 5/16/22, with 7/12/23 and 12/5/24 as residual dates by which payment should have been made. *Id.* at paras. 75(a)-(c).

Defendant

argues Civ. Code §1657 is inapplicable, as Ins. Code §11580.2(f) controls the timing language permitted in insurance policies. The policy states entitlement to UIM benefits and the amount thereof “shall be made by agreement” between the insured and Mercury “or, if they fail to agree, by arbitration.” SAC, para. 70; FAC, exh. A. This language must be included by law per sec. 11580.2(f). See *Freeman v. State Farm Mut. Auto. Ins. Co.* (1975) 14 Cal.3d 473, 480. The language of the policy is clear; where the parties dispute the amount owed, payment is not due until arbitration has been completed. Section 1657’s immediate payment language does not control. Whether defendant breached requires an allegation that defendant failed to pay after an arbitration award was issued.

As

the parties disputed the claim, the dispute proceeded to arbitration, and the claim was settled by defendant paying the full remaining policy limit prior to the arbitration hearing. SAC, paras. 34, 49, 60. Under the language of the policy, as per statute, no provision required defendant to pay by a certain date, upon receipt of a unilateral demand, or upon a concession by a retained expert. *Id.* at paras. 75(a)-(c). Defendant’s obligation was to pay after arbitration concluded. As payment was rendered prior to the conclusion of arbitration, it was timely.

The

only basis for the breach of contract claim is the alleged untimeliness of the payment. Plaintiff failed to allege the required element of breach. As plaintiff has had two prior attempts to plead the cause of action, further leave to amend would be futile. SUSTAINED without leave to amend as to the first cause of action for breach of contract.